# EXECUTIVE SUMMARY

## 1. Introduction

The Local Government Unit of Santa Ana was created by virtue of executive Order No. 289 signed by President Elpidio Quirino on October 21, 1949 which took effect on January 1, 1950.

A financial and compliance audit was conducted on the operations of the municipal government of Sta. Ana, Cagayan for the year ended December 31, 2015. The audit was made in accordance with generally accepted and prescribed government auditing standards, and accordingly included such tests of accounting records and such other auditing procedures as we considered necessary under the circumstances. The audit consisted of review of operating procedures, processes and practices being done by the municipality, the books of accounts and subsidiary records and the reliability of the financial reports. Financial transactions, accounts and reports were examined to ascertain the extent of compliance with laws, rules and regulations and budgetary requirements with due regard to economy, efficiency and effectiveness of its operations.

## 2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Sta. Ana for the year ended December 31, 2016, with comparative figures for CY 2015, are as follows:

| Particulars | 2016 | 2015 | Increase (Decrease) |
|---|---|---|---|
| **Financial Condition** | | | |
| Total Assets | 301,731,322.36 | 227,393,339.39 | 74,337,982.97 |
| Total Liabilities | 98,928,002.80 | 62,327,907.72 | 36,600,094.78 |
| Total Government Equity | 202,803,319.56 | 165,065,431.67 | 37,737,888.19 |
| | | | |
| **Results of Operation** | | | |
| Total Income | 150,883,392.66 | 138,863,286.98 | 12,020,105.68 |
| Total Expenses | 115,248,703.82 | 101,002,843.68 | 14,245,860.14 |
| | | | |
| **Appropriations, Allotments and Obligations** | | | |
| Appropriations - Current | 145,755,425.00 | 185,894,735.29 | (40,139,310.29) |
| Appropriations - Continuing | 27,244,076.47 | 27,244,076.47 | - |
| Allotments – Current | 145,755,425.00 | 185,894,735.29 | (40,139,310.29) |
| Allotments - Continuing | 27,244,076.47 | 27,244,076.47 | - |
| Obligations – Current | 116,868,605.25 | 109,368,621.81 | 7,499,983.44 |
| Obligations – Continuing | 15,766,195.22 | - | 15,766,195.22 |

The table above shows that the Municipality's assets, liabilities and government equity as of December 31, 2016 were P301,731,322.36, P98,928,002.80 and P202,803,319.56 with an increase of 32.69%, 58.72% and 22.86%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P150,883,392.66 and P115,248,703.82 which increased of 8.66% and 14.10%, respectively from last year's figures.

For the year 2016, the Municipality of Sta. Ana appropriated the total amount of P145,755,425.00 of which P116,868,605.25 has been obligated as of year-end. Continuing appropriations for the year amounted to P27,244,076.47 which had a remaining balance of P11,477,881.25 as of year-end.

Comparative Statement of Fund Transfers to and from Other NGAs and LGUs are as follows:

| | **2016** | **2015** | **Increase (Decrease )** |
|---|---|---|---|
| Funds Received from Other Agencies | | | |
| Due to NGAs | P11,884,359.52 | P 5,669,105.08 | P6,215,254.44 |
| Due to GOCCs | 7,529.83 | 7,529.83 | - |
| Due to LGUs | 1,477,624.59 | 1,680,815.20 | (203,190.61) |
| **TOTAL** | **P13,369,513.94** | **P 7,357,450.11** | **6,012,063.83** |
| Funds Transferred to Other Agencies: | | | |
| Due from GOCCs | P68,520.00 | P 68,520.00 | - |
| Due from LGUs | 16,000.00 | 16,000.00 | - |
| **TOTAL** | **P84,520.00** | **P 84,520.00** | - |

Funds received by the Municipality from Other Agencies amounted to P13,369,513.94 with an increase of P6,012,063.83 or 45% with last year's figures. On the other hand, no fund transfers made Other Agencies during the year.

### 3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the financial statements of the Municipality of Sta. Ana due to the effects of failure of the agency to conduct physical inventory of its *Property, Plant and Equipment* with net book value amounting to P133,065,794.57 as of year-end.

## 4. Significant Findings and Recommendations

### Financial and Compliance Audit

1. **Huge amounts of cash advances was being handled by Disbursing Officer every month for salaries and allowances due to manual distribution of pay envelops, thus, may expose to high risk of loss or misapplication of funds and also result to the delay in the liquidation thereof.**

We recommended management to adopt a system of payroll payment through the Automated Teller Machine (ATM) of Government Banks. The ATM payroll system provides convenience on the part of management since payroll payments are distributed from the payroll account maintained in an authorized government depository bank to the individual account of the regular employees. The system will eliminate risk of loss or misapplication of funds and will reduce cash advances being handled by the Disbursing Officer.

2. **Copies of perfected contracts, together with the supporting documents, were not submitted on time to the office of the auditor for review and evaluation, in violation of COA Circular No. 2009-001 dated February 12, 2009.**

We recommended that management strictly comply with the submission/transmittal of executed contracts together with the supporting documents within five (5) days after its perfection to afford the audit team a prompt review and evaluation thereof. Any defects/deficiency in result of the review shall be timely communicated to management as a tool to adopt corrective measures and/or improve their operational and procurement processes.

3. **Cash advances totalling to P392,256.09 had remained unliquidated as of year-end due to the failure of concerned accountable officers and employees to settle their accountabilities and strictly enforce the rules and regulation on the granting, utilization and liquidation of cash advances as provided under pertinent provisions of Presidential Decree No. 1445 and COA Circular No. 97-002 dated February 10, 1997.**

We recommended that management strictly enforce the rules and regulation on the granting, utilization and liquidation of cash advances. Instruct the Municipal Accountant not allow the grant of additional cash advance to officials and employees unless the previous cash advance shall have been first liquidated or a proper accounting thereof had been made.

Exert earnest effort to effect the liquidation of all cash advances granted to officials and employees most especially those who are still connected with the municipality. Likewise, issue demand letter for the immediate liquidation of cash advances to those no longer connected with the municipality.

4. **Disbursements amounting to P3,915,393.94 were not supported with required supporting documents in violation of COA Circular No. 2012-01 dated June 14, 2012 and Section 4(5) and (6) of PD 1445, thus casting doubt on the regularity and validity of the transactions.**

   We recommended that Municipal Accountant ensures that the supporting documents of the disbursement vouchers are complete before effecting payment to prove the regularity and validity of the claim pursuant to existing law, rules and regulations. Moreover, the must submit the lacking documents and comply with the other deficiencies noted to avoid audit suspension/disallowance of the transactions.

5. **The amount of P8,500,000.00 allocated for Ecological Solid Waste Management Plan have not been completely implemented contrary with the provision of Section 12(6) of Republic Act. No. 9003, also known as the Ecological Solid Waste Management Act of 2000.**

   We recommended that management thru the MSWMB, fully execute the programs and activities contained in the ESWMP and review their Municipal Solid Waste Management Plan, and if warranted, make corrective action plan to address the present issues and concerns on ecological environment.

6. **The annual GAD Plan and Budget (GPB) amounting to P9,245,419.00 was not reviewed and approved by the DILG Regional Office as provided under PCW-DILG-DBM-NEDA Joint Memorandum Circular No. 2013-01, thus, identified programs, projects and activities cannot be ascertained whether it is in response with the gender issues and concerns of the locality.**

   We recommended management thru the GAD Focal Point System to comply with the provisions of PCW-DILG-NEDA-DBM Joint Circular No. 2013-01 dated July 18, 2013 on the preparation, review and approval of GAD Plan and Budget. The GAD Focal Person is advised to monitor and evaluate the implementation of programs and activities of the approved GPB.

7. **The Local Disaster Risk Reduction and Management Plan amounting to P6,423,448.15 did not include the goals and objectives of thematic areas, performance indicators and measures formulated by the National Disaster Risk Reduction and management Plan (NDRRMP).**

   We recommended management, thru the LDRRM Office, to revisit the LDRRMP and ensure that performance indicators and measures are specific, measurable, achievable relevant and time bound to facilitate assessment of the progress toward the achievement of the outcomes, objectives and goals. The LDRRMO is advised to closely monitor the programs/activities of LDRRMP to

ensure timely and proper implementation thereof. Also, the approved LDRRMP as well as the LDRRMFIP are submitted to the OCD for review and evaluation.

**5. Status of Implementation of Prior Year's Audit Recommendations**

Out of twelve (12) audit recommendations embodied in the 2015 Annual Audit Report, four (4) were fully implemented, three (3) were partially implemented and five (5) were not implemented as of December 31, 2016.